Economic Influences

Exam code: 9BS0

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 2 September 2025

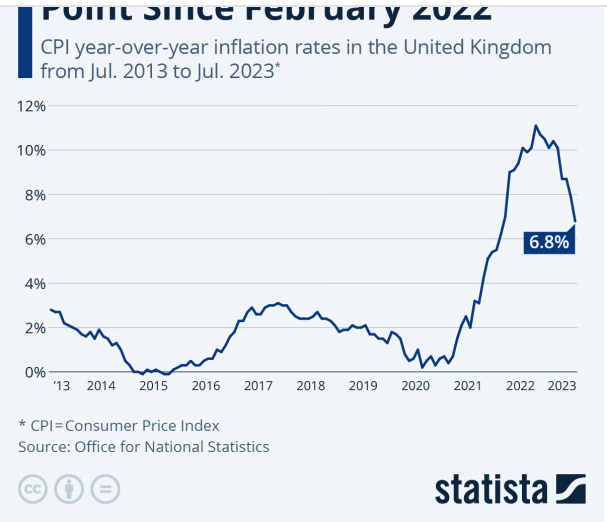
The effects on businesses of changing economic variables

- Economic influences can present significant **opportunities and threats** to business activities
- Businesses need to anticipate and respond to changing economic variables in order to maximise their chance of success
- The following economic variables need to be considered

Inflation

- Inflation is the **general rise in prices** in an economy over time
  - The **Consumer Price Index (CPI)** measures monthly changes in the prices of a range of goods and services and compares these changes to earlier periods, calculating the rate of inflation
  - In the UK government, monetary policy focuses on achieving a **2% inflation rate** and tasks the **Bank of England** with taking steps to maintain this (e.g. raising the interest rate)
- After several decades of relatively low levels of inflation, **the UK has recently experienced rapidly increasing levels**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it



Rapid inflation is causing problems for businesses and households in the UK

- **High or fluctuating levels of inflation** can be problematic for businesses for several reasons

Problems caused by inflation

- **Increased costs**
  - Workers often demand **higher wages** to compensate for the increase in the cost of living
  - Suppliers increase the costs of **raw materials** and **components**
  - Utilities, such as electricity, become more expensive
- **Higher repayments on loans**
  - **Interest rates usually rise** as the Bank of England uses the **base rate** as a tool to control inflation, making new and **variable-rate** borrowing more expensive
- **Consumers change spending habits**
  - Inflation **deters consumers from making significant purchases**, and they may reduce demand for their usual lower-priced wants too, e.g cinema tickets
  - Purchasing on **credit** becomes more expensive
- **International competitiveness**
  - Where **domestic inflation rates are higher** than those in other countries:
    - UK businesses are less likely to be competitive and **lose sales**
    - **Imports from overseas competitors are likely to be cheaper than domestic goods**
- **Uncertainty**
  - This occurs when businesses **cannot predict prices** even in the short term
  - **Survival** may need to become the key business objective until stability returns
  - **Spending and contract decisions are likely to be delayed**

Exchange rates

businesses that **import** raw materials and components and for businesses that **export** their products
- Exchange rates **fluctuate** for a range of reasons, including:
  - Changing demand for a currency
  - Economic growth
  - Changes to **interest rates**

The impact on business of changes in currency values

Change to currency value	Impact on exporting businesses	Impact on importing businesses
An increase in the value of the £ against other currencies **(appreciation)**	• **Sales are likely to fall** as products become more expensive when compared to overseas competitors • In order to remain competitive, exporting businesses **may need to lower prices** and accept lower **profit margins**	• **Costs are likely to fall** as supplies from overseas become cheaper compared to those domestically produced • Businesses may seek to **expand their pool of overseas suppliers** to further reduce costs and maximise profits

Help me understand

other currencies **(depreciation)**	cheaper compared to overseas competitors • Businesses may choose to **increase selling prices** to increase profit margins	from overseas become more expensive compared to those domestically produced • Businesses may **seek domestic suppliers** to reduce costs and maintain profit levels

Examiner Tips and Tricks

Many businesses are affected as **both importers of raw materials and components and as exporters of goods and services overseas**.

It would be unusual for UK-based exporters to wholeheartedly celebrate a weak pound or be entirely dismayed at a strong pound, as the global nature of business means that for many firms, both costs and revenues are affected by exchange rate movements.

For most businesses, **exchange rate stability is more important** in the medium to long term because **volatility** makes planning, forecasting and setting objectives very difficult.

Interest rates

- The interest rate is a **percentage reward offered for saving money, and the percentage charged for borrowing money**
- Lenders commonly charge interest on borrowing at a rate higher than the **Bank of England base rate**
  - They then offer a lower rate on savings and investments
- If interest rates rise, businesses will have to **pay more on new or variable-rate borrowing**, which will **increase their costs**
- Businesses may be less willing to make **capital investments** when their retained profit may be more profitably invested in savings schemes
- Customers are **less likely to purchase goods on credit** when interest rates are high, leading to a **fall in sales**

their products comparably more expensive abroad

Taxation and government spending

- Governments impose **direct and indirect taxes** on businesses and households
  - **Direct** taxes are levied on income, e.g. income tax and corporation tax
  - **Indirect** taxes are levied on spending, e.g. value-added tax (VAT)

The impact of an increase in taxation

Impact	Explanation

Revenue	• Revenue may fall for many businesses
	  ○ Increased **income tax** will reduce the **disposable income** of customers, and demand for products may fall
	  ○ Increased VAT will make products more **expensive**, and **customers** may switch to alternative products

Costs	• **Operating costs** will rise as a result of increased taxes, such as VAT and National Insurance contributions
	  ○ Higher costs may be offset by charging **higher prices**
	  ○ Higher prices may lead to **lower sales**, and **profit may fall**
	• **Import costs** are increased when **customs duties** are raised

Business decisions	• **Business spending and investment** may be affected by increases in corporation tax, as **less profit will be retained** to cover future expenses and make plans for business expansion
	• **Operational decisions** may be affected by increases in business rates and taxes related to employing workers
	  ○ Businesses may choose to **forego business improvement or relocation** or **employ fewer workers** as a result of increased costs
	• In some cases, businesses may take steps to try to **avoid paying specific taxes** or pay **lower rates of taxation**
	  ○ Move the business to a low-tax location
	  ○ Change production methods to reduce the use of highly taxed components

- Increased government spending is usually **funded by increases in taxes** or **increases in public sector borrowing**

    - Increased public sector spending can lead to targeted improvements (e.g in public health or education levels) that can improve **productivity**
- In recent years, the UK government has focused increasingly on the **reduction of government spending**
    - Infrastructure projects have been scaled back or cancelled
        - E.g. the scale of the planned HS2 (High Speed 2) rail line intended to connect London with cities in the North has been significantly reduced
            - Businesses in cities such as Leeds and Manchester are now unlikely to benefit from more efficient transport links, which affects access to markets and workers
    - Spending on key services such as health and education has been reduced
    - **Public sector wage rises** have been limited
        - Businesses have **been affected by ongoing strike action** across the public sector, which has increased employee absence levels and made it difficult to function effectively

The business cycle

- The business cycle describes the **upturns** and **downturns** in the level of a country's economic activity (**gross domestic product** or GDP) over time
    - A **recession** occurs when an economy experiences two consecutive quarters (six months) or more of negative economic growth
    - A **boom** is defined as a period of time in which an economy experiences increasing/high rates of economic growth

The business cycle over time

The business cycle includes periods of expansion, boom, recession and recovery

Stage of the business cycle	Characteristics	Impact on businesses
Recession	• Increasing/high unemployment	• Customers have less **disposable income** and are

		• Low inflation or **deflation** • Increase in government expenditure	significant spending decisions, leading to lower revenue • Businesses may find it relatively **easy to recruit** workers from a larger pool of candidates • Businesses may delay spending decisions and focus on reducing risk and survival • Production levels are likely to be reduced • Businesses often stockpile products • Increased spending on **welfare benefits** and spending on infrastructure projects to inject demand into the economy **may benefit some businesses**
	Boom	• Decreasing unemployment and increasing job vacancies • High confidence and more risky decisions are taken • Increasing rate of inflation • An improvement in the government budget as tax revenues rise and government expenditure falls	• Customers' **disposable income increases**, leading to higher sales revenue • Recruitment and **staff retention may become more challenging**, and businesses may need to pay higher wages • Businesses look to expand and maximise profit • Production levels are likely to increase • **Product** or **market development** strategies are more likely

		of borrowing will increase the risk of **capital investment** • Lower government spending may impact a business's growth plans • Public sector pay controls may cause **industrial unrest** and affect business operations

The effects of economic uncertainty on the business environment

- Economic uncertainty occurs when it is difficult to forecast the level of **supply** and **demand** in an economy
- Businesses will find **planning difficult** and are likely to be **reluctant to make significant decisions**, especially with regard to **capital expenditure**
- Economic uncertainty may occur as a result of:
  - A fluctuating **exchange rate**
  - **Economic growth** uncertainty
  - Turbulence in the price of key **commodities**, such as oil
- Businesses must **always be prepared** for economic uncertainty by:
  - Building up **cash reserves** when times are good
  - Keeping informed about the economic climate
  - Being ready to take advantage of opportunities when they arise

Examiner Tips and Tricks

MOPS is a useful acronym that could be used in 20-mark questions as a tool to **place the business context at the heart of evaluative answers**. It is frequently highlighted in the examiners' report as an example of good evaluative practice.

MOPS stands for:

- Market
- Objectives
- Product

business's decision, try to explain why some of these factors are relevant, with specific reference to evidence from the case study. This will help you make a balanced decision.

Teacher only

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder

Test yourself

Flashcards

Was this revision note helpful? Yes No

Previous

Next

Course

Study tools

All topics

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.